Growth areas infrastructure contributions

Landowner and developer contributions for essential infrastructure development in Melbourne's growth areas.

Reference

Resource type:

Guide

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On this page:

What is GAIC?

2026-27 State Budget Investment Outcomes

How funds are used

Where GAIC Funds have been invested

How funds are allocated

GAIC rates

WIK agreements

What is GAIC?

GAIC (growth areas infrastructure contribution) is a fee collected in Melbourne's expanding suburbs to fund infrastructure development.

It is paid when buying or developing a large piece of land.

The fees are collected by the State Revenue Office (SRO) and distributed equally between two special purpose accounts:

- The growth areas public transport fund
- The building new communities fund.

GAIC was introduced in 2010 in the *Planning and Environment Act 1987* Part 9B to respond to the challenges facing residents in the growth areas of Cardinia, Casey, Hume, Melton, Mitchell, Whittlesea and Wyndham. It is managed by the Minister for Planning and the Victorian Treasurer.



Watch on

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2026-27 State Budget Investment Outcomes

The 2026-27 State Budget will deliver a combined investment of $155.76 million from Growth Areas Infrastructure Contribution funds, made up of the following components:

Responding to Enrolment Growth: New and Expanded Schools - $117.65 million

Providing $117.65 million from the Building New Communities Fund to support the delivery of new and expanded schools in growth areas, including:

- $54.00 million to support the delivery of new schools set to open in 2028-29.
- $53.65 to support the delivery of additional stages for two new schools for the 2028 school year.
- $10.00 million to support the delivery of land acquisition for three new and expanded schools.

Critical Bus Investments – $36.29 million

Providing $36.29 million from the Growth Areas Transport Fund for new and expanded bus services, including:

- $19.03 million for a package of new and extended bus services for Melton South growth areas.
- $17.25 million for a package of upgraded and extended bus routes to improve coverage and connect passengers in Casey including Cranbourne East, Botanic Ridge, Clyde, Clyde North Junction Village, Warneet and Tooradin to key destinations.

Safer and Accessible Stations

Providing $1.81 million from the Growth Areas Transport Fund for critical pedestrian safety upgrades and bicycle parking facilities at Donnybrook Station.

How funds are used

GAIC funds can be used for the purpose of state funded infrastructure projects located within the urban growth boundary of any seven growth area councils.

GAIC funds must be spent in, or for the benefit of, any of the seven designated growth area councils. Funds are used for infrastructure projects like land acquisition, capital works and start-up operating costs for new public transport services.

GAIC funds are distributed to growth corridors broadly in proportion to the amount received over time.

The following project types are priorities for GAIC funds:

Growth areas public transport fund

- new railway stations and associated works
- new bus interchanges
- future transport corridors
- bus services for the first five years of operation
- associated infrastructure for public transport such as car parking and access

Building new communities fund

- primary and secondary government schools and other education facilities
- state emergency services facilities including fire stations and ambulance stations
- health, community health, wellbeing and family violence prevention facilities
- justice facilities including courts and police stations
- open space improvements
- walking and cycling

- regional level sporting and recreational facilities

Where GAIC Funds have been invested

The GAIC Funded Projects map shows all projects funded up to 31 December 2025. This map is updated twice annually. Financial data is also current as at 31 December 2025.

The next scheduled update is July 2026 to reflect financial activity in Quarter 3 and Quarter 4 of the 2025-26 Financial Year, as well as State Budget 2026-27 funding outcomes.

GAIC financial performance is reported annually and published in the DTP Annual Report.

View GAIC funded projects

Growth areas public transport fund

GAIC - GAPTF whole of program expenditure
DOCX | 43.9 KB

Building new communities fund

GAIC BNCF whole of program expenditure
DOCX | 43.4 KB

How funds are allocated

Victorian Government departments (or agencies through the relevant department) can apply for funding to deliver important infrastructure projects that address the needs of growth communities during the annual funding round or the Victorian state budget.

Developers can seek to provide works or land for future state infrastructure in lieu of paying the contribution under a GAIC work-in-kind (WIK) agreement. This can offset all or some of a developer's GAIC liability.

GAIC rates

The adjusted GAIC contributions are:

Land type	Rate per hectare 2023-24	Rate per hectare 2024-25	Rate per hectare 2025-26	Rate per hectare 2026-27
A (section 201RC(2) of PEAct)	$110,590	$115,530	$118,830	$122,260
B-1 (section 201RC(3) of PEAct)	$131,360	$137,230	$141,150	$145,220
B-2 (section 201RC(4) of PEAct)	$131,360	$137,230	$141,150	$145,220
C (section 201RC(5) of PEAct)	$131,360	$137,230	$141,150	$145,220

Information about payments, exemptions and GAIC certificates can be found on the SRO website.

WIK agreements

WIK agreements allow developers to provide land and/or capital infrastructure works in a growth area instead of a cash payment.

Two models have been prepared to assist with entering into and negotiating a WIK agreement.

GAIC Model work in kind agreement – Land and work
DOC | 1.2 MB

GAIC Model work in kind agreement – Land transfer
DOC | 732.0 KB

Developers interested in entering into a WIK agreement should initially contact the VPA.

Two forms are available to assist in developing proposals:

Detailed proposal – GAIC work in kind agreements land transfer
DOC | 39.0 KB

Expression of Interest – GAIC work in kind agreements proposal for works and land
DOC | 48.5 KB

WIK guidelines

WIK guidelines relate to the establishment and administration of WIK agreements. They explain why the model WIK agreements are drafted the way they are, and how they work.

The guidelines should be read in conjunction with Subdivision 2A of Part 9B of the Planning and Environment Act and the model WIK agreements.

GAIC work in kind guidelines
DOCX | 132.3 KB

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Related links

Infrastructure contributions

Victorian Planning Authority – GAIC

State Revenue Office – GAIC

Contact us

State Planning Services
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